

PROPOSED DEAL TERMS

Commute Service – Seed Investment

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Page 1: Money & Ownership

1. The Company

Commute Service Ltd, registered with CAC in Nigeria.

2. What I'm Investing

~~₦~~5,000,000 total, but paid in 2 parts:

Part 1: ~~₦~~2,000,000 when we sign and you complete the checks in Section 8.

Part 2: ~~₦~~3,000,000 only after you hit the targets in Section 7.

3. How Much Ownership I Get

Company value before my money:

~~₦~~55,000,000

Company value after my money:

~~₦~~60,000,000

My ownership: 8.33% for ~~₦~~5,000,000

Reason: This matches early-stage deals in Nigeria. The original ~~₦~~100M value was too high for a business with no product or revenue yet.

4. What The Money Is For

Money will be used exactly as in your plan: 40% for building the app, 60% for launch and 6 to 7 months of running costs. You need my written approval to change this.

5. If The Company Is Sold or Shuts Down

I get my ~~₦~~5M back first before any money goes

to the founder. This protects me if the company sells for less than expected.

6. Founder's Share Lock-In

Founder's shares are earned over 4 years.

If founder leaves before 1 year, they lose all shares.

After 1 year, 25% is locked in.

The rest unlocks monthly after that.

This makes sure the founder stays to build the company.

Page 2: Control, Safety & Next Steps

7. Targets To Get The Second Payment

You get the second ~~4~~3M only when all of these are done:

1. App is live and working for 30 days.

2. 50 verified drivers are active in at least 2 estates.
3. 200 paid rides completed in one week.
4. Insurance policy is active and certificate is shared with me.

8. Checks Before I Send Money

Before any money moves, you must show me:

CAC registration papers.

Insurance policy with at least ₦50M coverage.

Signed legal agreements.

Full list of debts, contracts, and any legal issues.

9. My Rights As An Investor

Monthly Updates: I get simple financial and ride/driver numbers every month.

Right To Invest More: If you raise money later, I can invest more to keep my 8.33% ownership.

Meeting Observer: I can attend board meetings to see what's happening, but I won't vote.

Approval Needed: You must ask me before taking loans >~~N~~1M, spending >~~N~~500k on equipment, issuing new shares, or changing the business plan.

10. Who Pays If Something Goes Wrong

The company and founder are responsible for all accidents, lawsuits, and operational problems.

The company and founder agree to cover any legal costs so it doesn't come after me personally.

I will not sign any personal guarantees for

company debts.

You must keep active insurance at all times.
If insurance lapses, it breaks our agreement.

11. Other Important Points

If Company Is Sold: If 75% of shareholders agree to sell, everyone sells. If founder sells their shares, I can sell mine at the same price and time.

If Next Round Is Cheaper: If later investors get a better price than me, I get extra shares to balance it out.

Law & Disputes: Nigerian law applies.

Disputes go to Lagos Court of Arbitration.

Confidentiality: Both sides keep these terms private for 2 years.

12. Deadline

This offer is valid for 14 days. Most parts are not legally binding yet, only confidentiality and dispute rules are. We'll sign full legal papers after you agree.

